

INVESTING

The Middle Path

Sebi has proposed a new asset class with a ticket size of ₹10 lakh for high risk takers. But such investment options can be complex

BY TEENA JAIN KAUSHAL



ILLUSTRATION BY PRABAL BISWAS

► **CAPITAL MARKETS REGULATOR** Securities and Exchange Board of India (Sebi), in its quest to fill the gap between mutual funds (MFs) and portfolio management services (PMS), has put out a consultation paper aimed at creating a new asset class.

With a minimum investment of ₹10 lakh, this new asset class will

₹10
lakh

**MINIMUM INVESTMENT SIZE
OF NEW ASSET CLASS, WHICH
WILL CARRY MORE RISK THAN
TRADITIONAL MFs**

carry more risk than traditional MFs. It may give higher-risk investors access to regulated opportunities without the high minimum thresholds of PMS and Alternative Investment Funds (AIFs) or without using unregulated structures. While the minimum investment amount for MFs is as low as ₹100, for PMS it is ₹50 lakh.